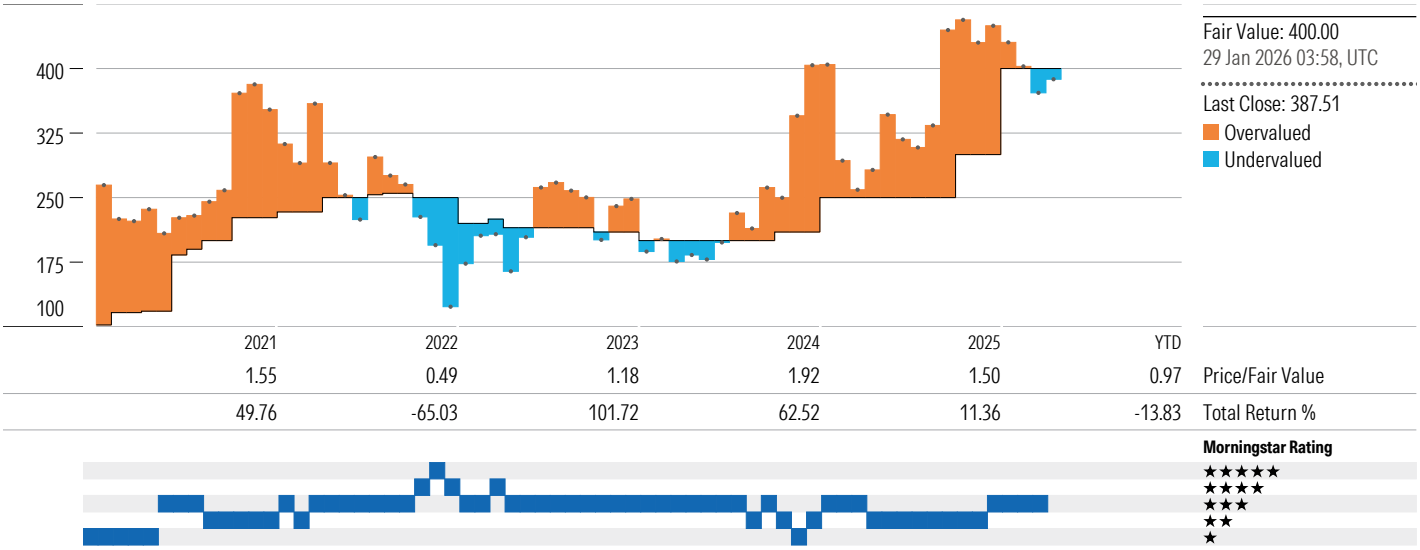
Tesla Inc TSLA ★★★ 22 Apr 2026 21:37, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
387.51 USD 22 Apr 2026	400.00 USD 29 Jan 2026 09:58, UTC	0.97	1.45 USD Tril 22 Apr 2026	Narrow	Large Growth	Very High	Exemplary	 22 Apr 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	1.55	0.49	1.18	1.92	1.50	0.97	Price/Fair Value
	49.76	-65.03	101.72	62.52	11.36	-13.83	Total Return %

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 22 Apr 2026. Last Close as of 22 Apr 2026. Fair Value as of 29 Jan 2026 03:58, UTC.

Contents

Analyst Note (23 Apr 2026)
Business Description
Business Strategy & Outlook (23 Apr 2026)
Bulls Say / Bears Say (23 Apr 2026)
Economic Moat (23 Apr 2025)
Fair Value and Profit Drivers (23 Apr 2026)
Risk and Uncertainty (23 Apr 2026)
Capital Allocation (23 Apr 2026)
Analyst Notes Archive
Financials
ESG Risk
Appendix
Research Methodology for Valuing Companies

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Tesla Earnings: Shares Fall Slightly as Management Raises Capital Expenditure Guidance

Analyst Note Seth Goldstein, CFA, Senior Equity Analyst, 23 Apr 2026

Tesla's first-quarter earnings saw strong year-over-year growth in operating profits and free cash flow. However, shares were down 1% in after-hours trading on April 22 at the time of writing as the market reacted to management raising its 2026 capital expenditure guidance.

Why it matters: Management now expects to spend over $25 billion in 2026, roughly triple 2025 levels, while also guiding to negative free cash flow for the remainder of the year. We think investors are reacting to the negative free cash flow guidance, sending shares down.

- The heavy investment is tied to Tesla's plan to transition from selling autos and energy storage batteries to autonomous vehicles and humanoid robots. We view this as a good investment for Tesla, given progress on both initiatives.
- In robotaxi, Tesla recently expanded to two new cities without safety monitors in the vehicles. We assumed all new city expansions would feature safety monitors, but we view this as a sign that the autonomous driving software continues to improve.

The bottom line: We maintain our $400 fair value estimate for narrow-moat Tesla. We view Tesla shares as fairly valued, with the stock trading around our fair value estimate and in 3-star territory. We recommend investors wait for a larger margin of safety before considering an entry point.

- We increased our weighted-average cost of capital assumptions to reflect a higher cost of equity. We

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Sector	Industry
Consumer Cyclical	Auto Manufacturers

Business Description

Tesla is a vertically integrated battery electric vehicle automaker and developer of real world artificial intelligence software, which includes autonomous driving and humanoid robots. The company has multiple vehicles in its fleet, which include luxury and midsize sedans, crossover SUVs, a light truck, and a semi truck. Tesla also plans to begin selling a sports car and offer a robotaxi service. Global deliveries in 2025 were nearly 1.64 million vehicles. The company sells batteries for stationary storage for residential and commercial properties including utilities and solar panels and solar roofs for energy generation. Tesla also owns a fast-charging network and an auto insurance business.

also raised our capex forecast for the next few years. Separately, we increased our assumptions for robotaxi, autonomous driving subscriptions, and Optimus valuation. These changes largely offset.

Business Strategy & Outlook Seth Goldstein, CFA, Senior Equity Analyst, 23 Apr 2026

Tesla is one of the largest battery electric vehicle automakers in the world. In less than a decade, the firm went from a startup to a globally recognized luxury automaker. Tesla competes in the entry-level luxury car and midsize crossover sport utility vehicle markets with its Model 3 and Model Y vehicles. It also sells a light truck—the Cybertruck—and a semi truck. Tesla plans to launch a dedicated robotaxi vehicle—the Cybercab—and a luxury sports car in the future.

Tesla aims to transition from primarily being an automaker to focusing on real world artificial intelligence. This includes self-driving software for use in its own vehicles and a ride-hailing service named robotaxi. The company is also working on developing humanoid robots for commercial and eventually consumer use.

To build its products, Tesla often goes upstream and controls much of its supply process. This includes lithium refining, battery design and manufacturing, semiconductor design, and semiconductor fabrication.

Tesla is attempting to take a larger share of its customers' auto-related spending, which includes selling autonomous driving software on a subscription basis, insurance in a growing number of US states, and charging, where the company owns and operates over 8,000 fast charging stations globally.

For robotaxi, we expect autonomous vehicles, namely Tesla's robotaxi and Alphabet's Waymo, to make up 50% of ride-hailing rides in the US and Canada by 2030, as robotaxis are cheaper than human drivers. Tesla is currently in the testing phase of its robotaxi service and currently tests in three Texas cities—Austin, Houston, and Dallas—and the Bay Area of California, with plans to expand to at least five more cities in 2026. The company is moving through testing and removed some safety drivers in its robotaxis in Texas. Over time, we think Tesla will grow to become one of the largest ride-hailing providers in North America.

Tesla also sells solar panels and batteries to consumers and utilities. As the battery-based energy storage market expands, Tesla is well-positioned to grow accordingly.

Bulls Say Seth Goldstein, CFA, Senior Equity Analyst, 23 Apr 2026

- Tesla has the potential to disrupt multiple industries with its technology for EVs, AVs, batteries, and humanoid robots.
- Tesla's full self-driving software should generate growing profits in the coming years as the technology continues to improve, leading to a robotaxi service, increased adoption by Tesla drivers.

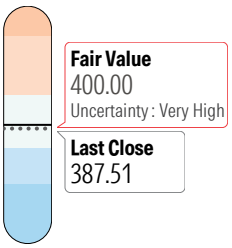
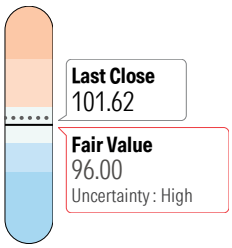
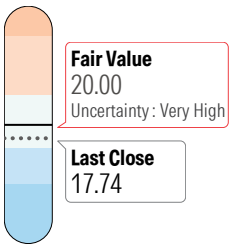
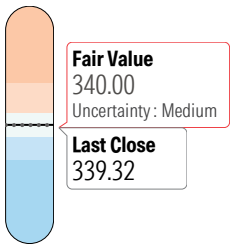
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Competitors

	Tesla Inc TSLA	BYD Co Ltd Class A 002594	Rivian Automotive Inc Class A RIVN	Alphabet Inc Class A GOOGL
				
Economic Moat	Narrow	None	None	Wide
Currency	USD	CNY	USD	USD
Fair Value	400.00 29 Jan 2026 03:58, UTC	96.00 30 Mar 2026 06:25, UTC	20.00 19 Mar 2026 17:54, UTC	340.00 30 Oct 2025 03:05, UTC
1-Star Price	700.00	148.80	35.00	459.00
5-Star Price	200.00	57.60	10.00	238.00
Assessment	Fairly Valued 22 Apr 2026	Fairly Valued 22 Apr 2026	Fairly Valued 22 Apr 2026	Fairly Valued 22 Apr 2026
Morningstar Rating	★★★22 Apr 2026 21:37, UTC	★★★22 Apr 2026 16:47, UTC	★★★22 Apr 2026 21:52, UTC	★★★22 Apr 2026 21:26, UTC
Analyst	Seth Goldstein, Senior Equity Analyst	Vincent Sun, Senior Equity Analyst	Seth Goldstein, Senior Equity Analyst	Malik Ahmed Khan, Senior Equity Analyst
Capital Allocation	Exemplary	Standard	Standard	Exemplary
Price/Fair Value	0.97	1.06	0.89	1.00
Price/Sales	14.42	1.15	3.91	10.30
Price/Book	17.70	4.07	4.82	9.88
Price/Earning	327.78	31.46	—	37.12
Dividend Yield	0.00%	1.30%	0.00%	0.25%
Market Cap	1,454.10 Bil	926.49 Bil	22.02 Bil	4,104.75 Bil
52-Week Range	229.85—498.83	85.88—138.99	11.25—22.69	147.84—349.00
Investment Style	Large Growth	Large Blend	Mid Blend	Large Blend

- Tesla's humanoid robot will create shareholder value as its ability to perform multiple functions will transform manufacturing and be useful to consumers.

Bears Say Seth Goldstein, CFA, Senior Equity Analyst, 23 Apr 2026

- Traditional automakers and new entrants are investing heavily in EV development, which will result in Tesla seeing a deceleration in sales growth and being forced to cut prices due to increased competition, eroding profit margins.
- Tesla's large investment into autonomous driving software will be value destructive as the robotaxi product will face delays and competition from Waymo, who already offers a robotaxi service.
- Tesla CEO Elon Musk's political activities will turn consumers away from buying a Tesla in key markets including the US and Europe, leading to lower sales and profits.

Economic Moat Seth Goldstein, CFA, Senior Equity Analyst, 23 Apr 2025

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We award Tesla a narrow moat rating. Tesla's moat stems from two of our five moat sources: intangible assets and cost advantage. The company's strong brand cachet as a luxury automaker commands premium pricing, while its EV manufacturing expertise allows the company to make its vehicles cheaper than its competitors.

Intangible Assets

Tesla's brand cachet is not likely to be impaired anytime soon as other automakers move into the battery electric vehicle space because we expect the company to keep innovating to stay ahead of startup and established competitors. The Model S Plaid, the most upgraded version of Tesla's luxury sedan, offers 390 miles of range, at the high end for electric vehicles. It does 0-60 mph in under 2 seconds and has 1,020 horsepower, putting the Model S Plaid in a rare class of performance among all autos, regardless of powertrain. By focusing on the luxury auto market first, Tesla was able to create tremendous media publicity for the company that reaches beyond its customers. This generated strong consumer demand for its subsequent vehicles at lower price points, such as the Model 3 and Model Y. As other new vehicles are launched, such as the affordable SUV, we expect the company's strong brand will continue to generate consumer demand.

Tesla has a more high-tech vehicle with the ability to do drivetrain updates and other updates via Wi-Fi or a cellular connection, and customers do not have to visit a store for many service needs. Tesla will instead pick up the vehicle from home and often return it the same day, while providing a fully loaded loaner for no charge, or visit the customer's home or work and service the car there. This experience is much easier than many other automakers' service, which helps Tesla's brand equity. Further, this has been accomplished with little to no spending on advertising, which is rare for a consumer brand. This strong brand equity has carried over to Tesla's energy generation and storage business, where the company can charge a premium for its fully integrated solar panel, inverter, and home battery storage systems sold to consumers.

Tesla's proprietary technology contributes to its intangible asset-driven competitive advantage. This form of intangible assets applies to EVs due to their innovative, highly engineered nature and because patents for EV technologies hold somewhat less value due to the ability of competitors to create alternatively designed, but ultimately similar, products. Since launching the Model S in 2012, Tesla has been the industry leader in electric vehicles, producing the best EVs on the market. The company invests nearly 6% of sales in R&D to maintain its best-in-class range, which is well ahead of the competition on a miles per kilowatt-hour basis and continues to improve other vehicle specs such as power. Tesla is also investing heavily in its proprietary autonomous vehicle technology and building one of the world's largest supercomputers to train self-driving artificial intelligence. With R&D spending in line with its peers, we think Tesla will be able to maintain its proprietary technological advantage.

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Tesla Inc TSLA ★★★ 22 Apr 2026 21:37, UTC

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Tesla will face increasing competition in the coming years. Automakers plan to electrify their fleets by adding EV versions of existing vehicles and creating new platforms. However, we see EVs becoming a greater proportion of auto sales, growing to 30% by 2030 from 3% in 2020, which will expand the market as EVs rapidly take share from internal combustion engine vehicles. As new models are introduced, Tesla's technological advantage and the strength of its brand will remain intact, which will allow the company to continue to charge a premium price for its EVs.

Cost Advantage

We think Tesla benefits from a cost advantage in electric vehicles production thanks to its manufacturing scale. Tesla's total vehicle volume has grown from just over 100,000 in 2017 to nearly 1.8 million deliveries in 2024. During the same period, the company's average cost of goods sold per vehicle has fallen over 55%, from $84,000 to just over $35,000. While some of this is due to manufacturing a greater proportion of midsize cars and SUVs versus luxury autos, the majority of the COGS decline has come from the company's focus on reducing manufacturing costs due to scale. Legacy automakers are gradually transitioning to BEV production from internal combustion engines, but we expect they will be saddled with legacy ICE costs for a long time. Even as legacy automakers begin to produce more EVs, we expect Tesla will continue to have lower costs as it has outlined a plan to further reduce unit production costs over the next several years with a new manufacturing process. With Tesla's cost per vehicle set to fall, legacy automakers may take years to catch up to Tesla, if ever, as they won't want to build many new factories from scratch like Tesla is doing.

We think Tesla's combination of intangible assets and cost advantage will persist in the future and allow the firm to generate excess returns on capital. We see the potential for Tesla to outearn its cost of capital over at least the next 20 years, which is the measurement we use for a wide moat rating. However, the second 10-year period carries significant uncertainty for both Tesla and the broader automotive industry, given the rapid advancement of autonomous vehicle technologies that could transform how consumers use vehicles. As such, we view a narrow moat rating, which assumes a 10-year excess return duration, as more appropriate.

Fair Value and Profit Drivers Seth Goldstein, CFA, Senior Equity Analyst, 23 Apr 2026

We maintain our $400 fair value estimate for Tesla following the company's first-quarter earnings. We use a weighted average cost of capital of just under 10%. Our equity valuation adds back nonrecourse debt.

In 2026, we forecast deliveries will fall roughly 5% to 1.56 million versus the 1.64 million deliveries in 2025, largely due to the US EV tax credit expiration in September of 2025 and increased competition in Europe, where Tesla won't be able to sell its autonomous driving software through at least most of the first half of the year. As Tesla is ramping up production of its new, lower-priced Model Y and Model 3

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vehicles, we expect automotive gross margins excluding credits will remain in the mid-teens, below management's long-term goal of 20%.

Longer term, we assume Tesla will deliver around 2.8 million vehicles per year in 2030, driven by the adoption of full self-driving software and the more affordable versions of the Model Y and Model 3.

We forecast that the vast majority of deliveries will come from the Model Y and Model 3 platforms. Tesla plans to discontinue to Model S and Model X and we see Cybertruck, Roadster, and semitruck combining for roughly 30,000 deliveries per year.

We think Tesla will be successful in continuing to reduce its manufacturing costs on a per-vehicle basis. Including rising adoption of FSD subscription software, we forecast the segment gross margin will recover to the mid-20% range by the end of the decade, above the 18% generated in 2024 but below the 29% achieved in 2022.

We expect Tesla's robotaxi business will continue to progress through testing and enter multiple new cities in 2026, similar to how Waymo, Uber, and Lyft increased their service locations. Tesla will initially take an asset-heavy approach, owning its own vehicles and running the software. Eventually, Tesla will allow Tesla owners to add their vehicles to its robotaxi fleet. The majority of our valuation comes from Tesla's AI software and robotics ventures. Our robotaxi valuation accounts for around $150 per share, or roughly 30% of our Tesla valuation. Our FSD software subscription valuation accounts for $75 per share, or around 15% of our fair value estimate. However, this excludes the effect of higher deliveries and expanded automotive gross profit margins from increased production. Our base case also adds the present value of Optimus humanoid robot sales and subscription software, which we value at roughly $100 per share, or 25% of our fair value estimate.

We also assume the successful growth of the insurance business and increased profits from the charging business result in long-term profit growth and margin expansion in the services and other segment.

In energy generation and storage, we assume the business averages annual revenue growth at nearly a 30% range during our 10-year forecast, primarily driven by accelerating demand for energy storage systems. While we forecast ESS prices to decline, the fall will largely be driven by cheaper battery costs, which should not affect profitability. As volume grows, unit costs should fall. Combined with recurring revenue from long-term power purchase agreements and AI trading software, we expect the business will turn profitable and generate gross margins in line with peers such as Enphase and SolarEdge.

We assume overhead expenses continue to decline as a percentage of sales as the company benefits from operating leverage as deliveries grow. As a result, we forecast companywide operating margin will return to the midteens by the end of the decade, in line with the 17% achieved in 2022 and well above

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the 8% generated in 2024.

To fund this growth, we assume Tesla will spend nearly $170 billion in capital expenditures over the next decade.

Given the wide range of outcomes, we also model upside and downside scenarios.

Our upside scenario fair value estimate is $700. In this scenario, we assume Tesla increased market share gains for Tesla's real world artificial intelligence subscription software products. We value robotaxi at around $250 per share, Optimus at $350 per share, and FSD software subscriptions at around $100 per share.

Our downside scenario fair value estimate is $80 per share. In a downside scenario, assume Tesla is unsuccessful in its goal to transition to a real world artificial intelligence provider. We value the autonomous driving software business at just $10 per share and see slower growth in the insurance business. We assign no value to the company's robotaxi or humanoid robots ventures.

Risk and Uncertainty Seth Goldstein, CFA, Senior Equity Analyst, 23 Apr 2026

We assign Tesla a Very High Morningstar Uncertainty Rating as we see a wide range of potential outcomes for the company.

The automotive market is highly cyclical and subject to sharp demand declines based on economic conditions. As an EV market leader, Tesla is subject to growing competition. As new lower-priced EVs enter the market, Tesla has cut prices and offered lower-cost versions of its Model 3 and Model Y vehicles. Further price cuts could reduce profits.

The company is also investing heavily in R&D and capital expenditures to develop autonomous driving software, robotaxis, and humanoid robots with no guarantee these investments will bear fruit. As of the last SEC filing, Tesla's CEO owns roughly 12% of the company's stock and uses it as collateral for personal loans, which raises the risk of a large sale to repay debt.

Tesla also faces political risk related to the political activities of CEO Elon Musk. Musk served as an advisor to US President Donald Trump but has since made statements against Trump's policies. Musk also campaigned for the far-right Alternative for Germany party in 2025. These activities risk turning away some consumers from buying a Tesla.

Tesla faces ESG risks. As an automaker, Tesla is subject to potential product defects that could result in recalls, including its autonomous driving software. We see a moderate impact should this occur. Another risk involves employee retention. If Tesla is unable to retain key employees, such as CEO Elon Musk, its image as an innovative company could decline. We see a low probability but moderate materiality.

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Additional ESG risks include potential patent litigation as the company relies on new technology to improve its EVs and energy storage systems. We see a low probability but moderate materiality should this occur. Tesla may also face regulatory issues in some US states due to laws that require automakers and dealers to be separate. We see a moderate probability but low materiality.

Capital Allocation Seth Goldstein, CFA, Senior Equity Analyst, 23 Apr 2026

We award Tesla an Exemplary Capital Allocation Rating based on our framework that assesses its balance sheet, investment decisions, and shareholder distributions.

We rate the balance sheet as sound. Tesla's revenue is subject to high cyclicality. However, with a healthy balance sheet and cash far exceeding total debt, Tesla should be able to easily meet its financial obligations.

We view management's investments as exceptional. To increase vehicles, the company built new factories around the world, including in China, the EU, and US. Given strong consumer demand, we think the capacity expansion plans make sense. We are in favor of the focus on reducing costs, as this should enable Tesla to keep its cost advantage intact as large legacy automakers electrify further this decade. Reduced manufacturing costs should enable Tesla to increase profit margins for its existing vehicles and produce an affordable sedan and SUV in the future at a profitable level.

We also think management is smart to focus on its autonomous driving software going forward as we think this will be a product differentiator. We also like the move to sell insurance as this creates another recurring revenue stream. While Tesla is developing autonomous driving software for its vehicles, it also makes sense for the company to enter the ride-hailing industry with its robotaxis. Additionally, we like the goal for management to develop humanoid robots as these can reduce Tesla's manufacturing costs in its plants and add an additional recurring revenue stream in the future.

Finally, we are also in favor of the move to open Tesla's charging network to non-Tesla vehicles as it can drive additional revenue and profits from charging stations by increasing the capacity utilization of each station.

We see shareholder distributions as appropriate. Tesla does not pay a dividend and to date has not repurchased shares. Instead, it has used the capital markets to issue stock, most recently at value-accretive levels. Tesla is investing heavily to expand its autonomous driving software, battery production capacity, humanoid robot manufacturing, and semiconductor fabrication. We think this internal reinvestment to fund organic growth is the best use of capital versus a shareholder distribution. Once Tesla finishes the current investment cycle, management may consider share repurchases in the future. Tesla is currently preparing to ramp up production of its dedicated robotaxi vehicles, semi-trucks, and humanoid robots. If its ride-hailing proves successful and autonomous driving software leads more consumers to buy a Tesla, or if its humanoid robots prove useful, the company may need to build more factories. So, we think Tesla holding cash for now makes sense as it

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Tesla Inc TSLA ★★★ 22 Apr 2026 21:37, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
387.51 USD 22 Apr 2026	400.00 USD 29 Jan 2026 09:58, UTC	0.97	1.45 USD Tril 22 Apr 2026	Narrow	Large Growth	Very High	Exemplary	22 Apr 2026 05:00, UTC

may be needed to fund future growth, which we view as the best use of capital. Over time, we think share repurchases, at least to offset dilution from stock-based compensation, would make sense with excess cash flow once its new ventures, such as robotaxi, begin generating positive free cash flow.

Elon Musk has been Tesla's CEO since 2008. Before co-founding Tesla, he co-founded and sold the internet payment system PayPal. Musk also co-founded SpaceX, Neuralink, and The Boring Co. Further, Musk purchased Twitter, now called X, in late 2022 and was CEO until mid-2023. For Tesla, Musk's compensation comes entirely from stock awards. Under the plan created in 2018, Musk earned 304 million stock option awards (split-adjusted, at a price of $23.34 per share) in 12 tranches based on meeting revenue, EBITDA, and market capitalization targets, which was completed by the end of 2022. Under Musk's new pay package, he will be able to earn more up to 423.7 million stock option awards over 12 tranches based on operational, EBITDA, and market capitalization targets. Tesla For future compensation awards, we would prefer a return on invested capital metric be added.

Analyst Notes Archive

Tesla: Shares Fall as Deliveries Come in Below Consensus Seth Goldstein, CFA,Senior Equity Analyst,2 Apr 2026

Tesla reported first-quarter 2026 deliveries of 358,023 vehicles. Tesla shares were down 4% on April 2 as the market reacted to deliveries coming in below consensus estimates reported by Tesla. Why it matters: Deliveries were up 6% in the first quarter year over year. Despite the growth, we forecast that Tesla will see 2026 deliveries fall slightly due to the US electric vehicle tax credit expiration. We point to Tesla's strong third quarter last year; the third quarter of 2026 is where Tesla will likely see a decline in deliveries. Additionally, Tesla's autonomous driving software is not yet approved in the European Union. We view this as a differentiator for Tesla, so the lack of approval will likely weigh on deliveries. This is similar to what happened in China last year, where Tesla deliveries fell until autonomous driving was approved, then rose. The bottom line: For now, we maintain our $400 fair value estimate for narrow-moat Tesla. At current prices, we view shares as fairly valued, with the stock trading around 10% below our fair value estimate and in 3-star territory. We see progress on the robotaxi as the major driver for shares in 2026. Tesla plans to expand testing for its robotaxi ride-hailing service to seven new US cities in the first half of 2026. If the company is able to make progress on its testing, shares will likely rise. We see offsetting effects on Tesla from the war in the Middle East. The supply shock driving crude oil and fuel prices higher should boost demand for electric vehicles, including Tesla. However, disrupted logistics and higher shipping rates may result in higher near-term unit production costs. Coming up: Tesla plans to report earnings after market close on April 22. We hope to hear from management on its robotaxi progress. We also hope management will provide an update on the Optimus humanoid robot, which is the second pillar of the company's real-world artificial intelligence strategy.

Tesla: SpaceX and xAI Will Merge, but We Don't Rule Out Eventual Consolidation With Tesla Seth

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Goldstein, CFA,Senior Equity Analyst,3 Feb 2026

SpaceX announced it acquired xAI, allowing the two companies to move forward as one to develop space-based data centers. Tesla shares were down 2% on Feb. 2 on the news. Why it matters: The merger between SpaceX and xAI likely rules out Tesla acquiring SpaceX in the near future. Last week, Bloomberg reported SpaceX had been evaluating a deal with Tesla in addition to xAI. Instead, we expect SpaceX will proceed with an upcoming initial public offering later this year. Tesla CEO Elon Musk remains the largest shareholder of SpaceX. So, we don't rule out Tesla eventually acquiring SpaceX. Rather, we think SpaceX going public may lead to less regulatory scrutiny if Tesla were to acquire SpaceX in the future as shareholders of both companies could vote on the deal. Further, Musk has said in the past he sees Tesla, SpaceX, and xAI's businesses converging in the future, so we think a future deal could still occur. Tesla vehicles are currently using xAI's Grok large language model, and we see additional opportunities for Tesla and SpaceX to work together. The bottom line: We maintain our $400 fair value estimate for narrow-moat Tesla. We had not previously assumed a deal with SpaceX would occur, so our outlook doesn't change on this news. At current prices, we view Tesla shares as fairly valued, with the stock trading a little above our fair value estimate and in 3-star territory. We see no change to our outlook. The company is in the early stages of a transition from selling autos as its primary business to real world artificial intelligence, including autonomous driving software and humanoid robots.

Tesla: Shares Rise on Media Report of Potential Merger With SpaceX Seth Goldstein, CFA,Senior Equity Analyst,30 Jan 2026

Bloomberg reported, citing unnamed sources, that SpaceX, which is considering an initial public offering later this year, is also considering a merger with Tesla or xAI. Tesla shares were up 3% at the time of writing in after-hours trading on Jan. 29, 2026. Why it matters: Tesla CEO Elon Musk is a major shareholder of all three firms. The news that SpaceX executives are considering mergers with other Musk companies signals Musk may be considering eventually consolidating his companies into a single conglomerate. An integration between Tesla and SpaceX would benefit both companies. SpaceX's plan to build data centers in space could be used by Tesla's real-world artificial intelligence operations. SpaceX's Starlink Wi-Fi system could also provide connectivity for Tesla's autos and eventually robots. Additionally, Tesla's Optimus robots could eventually be trained to be useful in SpaceX's operations, both in manufacturing and in space. This could accelerate SpaceX's growth plans over the long term. The bottom line: For now, we maintain our $400 fair value estimate for narrow-moat Tesla as no deal has been announced. Until a potential deal between Tesla and SpaceX moves forward, our valuation will assume no deal occurs. At current prices, we view Tesla shares as fairly valued, with the stock trading slightly above our fair value estimate and in 3-star territory. Tesla is in the midst of a transition from automaker to real-world AI leader, through its autonomous driving software and development of

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humanoid robots. While a merger with SpaceX is being considered, we think Tesla's pace of AI development will continue to be the main driver of the stock.

Tesla Earnings: Progress on Robotaxi and Optimus Shows Real World AI Growth; FVE to $400 From $300 Seth Goldstein, CFA,Senior Equity Analyst,29 Jan 2026

The highlights of Tesla's fourth-quarter earnings report were management's plans to expand its autonomous driving ride-hailing to more US cities and begin mass-producing its humanoid robots by the end of 2026. Tesla shares were up in after-hours trading as the market reacted favorably to the news. Why it matters: Tesla has been testing its robotaxi autonomous driving ride-hailing service in Austin, Texas, and the Bay Area of California. Tesla plans to expand to seven more US cities in the first half of 2026 and started removing its employees from its robotaxis in Austin. This shows the autonomous driving software is progressing well through testing. Improving software should also support Tesla's auto sales and its autonomous driving subscription software for Tesla owners. The plan to begin mass manufacturing the Optimus humanoid robot this year surprised us, as we thought the project was still several years away. To do this, Tesla will stop selling its Model S and X vehicles and retool the factory that produces them to enable robot production. The bottom line: We raise our fair value estimate for narrow-moat Tesla to $400 from $300. The primary drivers are a higher robotaxi valuation, increased adoption of Tesla's autonomous driving subscription software at a higher price, and a higher valuation of the humanoid robot business. At current prices, we view Tesla shares as fairly valued, trading around 10% above our fair value estimate, placing it in 3-star territory. The bulk of our valuation comes from the long-term free cash flow generation of Tesla's subscription software from its autos, robotaxis, and humanoid robots. While Tesla continues to test its software, we expect the stock to remain volatile as it progresses with these new products.

Tesla: Shares Fall on Market Concerns About Increased Autonomous Driving Competition From Nvidia Seth Goldstein, CFA,Senior Equity Analyst,6 Jan 2026

Nvidia announced its plans to develop and sell an autonomous driving system for use in personal vehicles and robotaxis as a part of its CES 2026 presentation. In response to Nvidia's announcement, Tesla's shares were down 5% at the time of writing on Jan. 6. Why it matters: Tesla, along with Alphabet's Waymo, is the current leader in autonomous driving software, including robotaxis. Nvidia's system would likely be sold to multiple automakers, allowing them to quickly close the gap in personal vehicles and, over the long term, in robotaxis. Increased competition in autonomous driving software for both personal vehicles and robotaxis could weigh on Tesla's growth. We think the market is reacting to a lower growth outlook for Tesla following Nvidia's entrance into autonomous driving systems. The bottom line: We are maintaining our $300 fair value estimate for narrow-moat Tesla. At current prices, we view Tesla shares as overvalued, trading nearly 45% above our fair value estimate and in 2-star territory. Our forecast assumes Tesla sees increased adoption among Tesla owners for its autonomous

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driving software and successfully launches its robotaxi service. However, we assume a roughly 30% ride-hailing market share for Tesla by 2035, with competitors increasing their market share as well. Nvidia's announcement included a broader entrance into real-world artificial intelligence, where Nvidia aims to develop the software to run robots in manufacturing plants. This would likely compete directly with Tesla's humanoid robots should both company's systems become commercial.

Tesla: Shares Fall on Fourth-Quarter Deliveries Decline Seth Goldstein, CFA,Senior Equity Analyst,2 Jan 2026

Tesla reported 418,227 deliveries in the fourth quarter of 2025 and 1,636,129 for the year. The company also reported 46.7 gigawatt hours of battery storage deployment. Tesla shares were down around 2% at the time of writing Jan. 2. Why it matters: Fourth-quarter and full-year deliveries were down 16% and 9%, respectively. Tesla was affected by the expiration of the US electric vehicle tax credit that expired in September. We expect deliveries will continue to fall through the first three quarters of 2026. In Europe, deliveries declined due to increased competition. In 2026, deliveries will depend on Tesla's ability to sell its autonomous driving software, which is currently awaiting regulatory approval. Should Tesla receive approval, we expect deliveries to rise. Otherwise, we see another decline. We think much of Tesla's valuation remains driven by market sentiment around the robotaxi business, where the company continues to progress through testing, including testing its Cybercab vehicle. We think the robotaxi will continue to be the primary driver of the stock in 2026. The bottom line: We maintain our $300 fair value estimate for narrow-moat Tesla. The 2025 deliveries were just below our estimate, but we had expected a decline. We view Tesla shares as overvalued with the stock trading a little less than 50% above our fair value estimate and in 2-star territory. We forecast the robotaxi will remain in testing throughout 2026. We see expanded testing, which includes additional cities, the removal of the Tesla employee who is a safety monitor in the vehicle, and Cybercab testing. Yet, we continue to expect full launch to not occur until 2027-28.

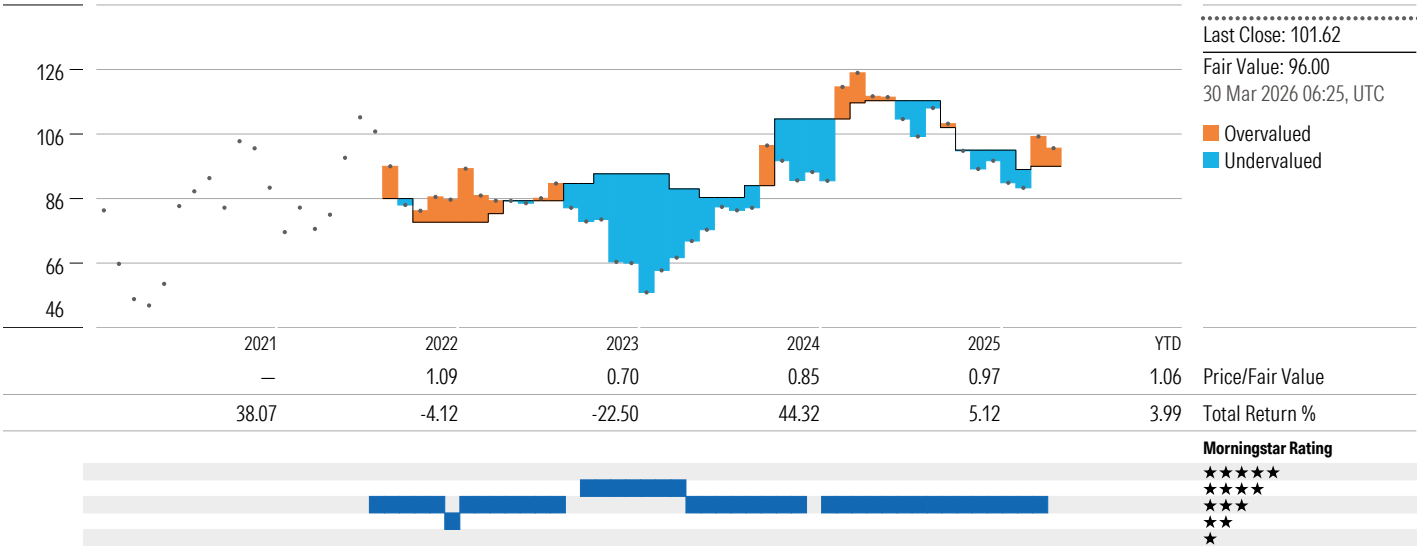
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Tesla Inc TSLA ★★★ 22 Apr 2026 21:37, UTC

Competitors Price vs. Fair Value

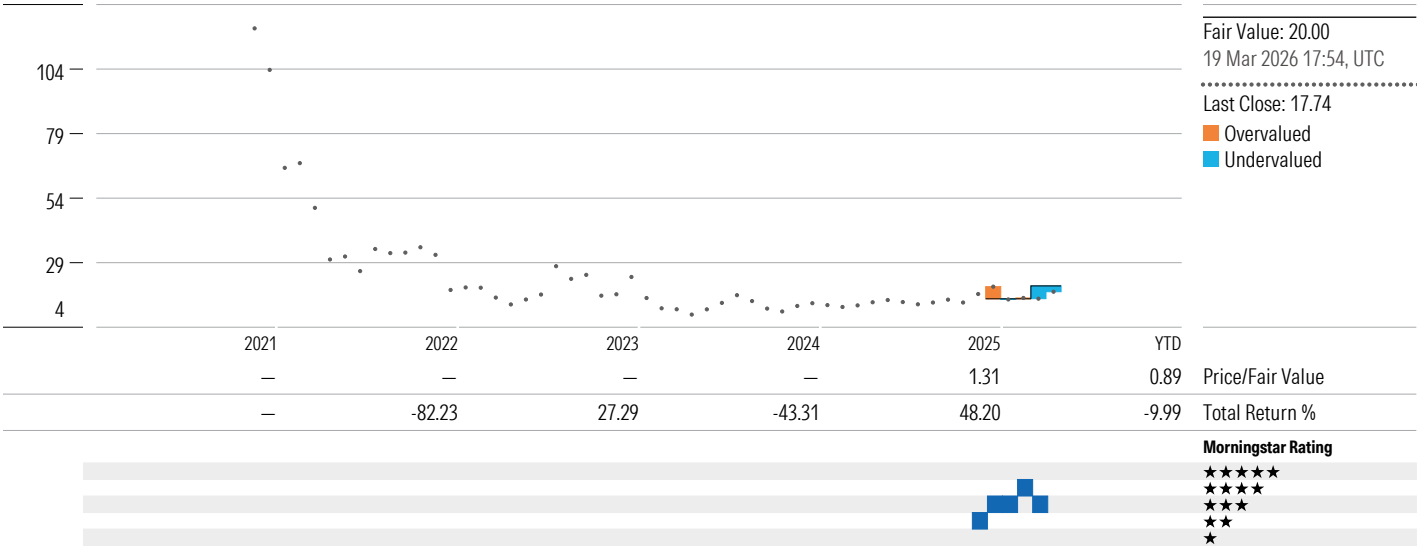
BYD Co Ltd Class A 002594



	2021	2022	2023	2024	2025	YTD	
	—	1.09	0.70	0.85	0.97	1.06	Price/Fair Value
	38.07	-4.12	-22.50	44.32	5.12	3.99	Total Return %

Total Return % as of 22 Apr 2026. Last Close as of 22 Apr 2026. Fair Value as of 30 Mar 2026 06:25, UTC.

Rivian Automotive Inc Class A RIVN



	2021	2022	2023	2024	2025	YTD	
	—	—	—	—	1.31	0.89	Price/Fair Value
	—	-82.23	27.29	-43.31	48.20	-9.99	Total Return %

Total Return % as of 22 Apr 2026. Last Close as of 22 Apr 2026. Fair Value as of 19 Mar 2026 17:54, UTC.

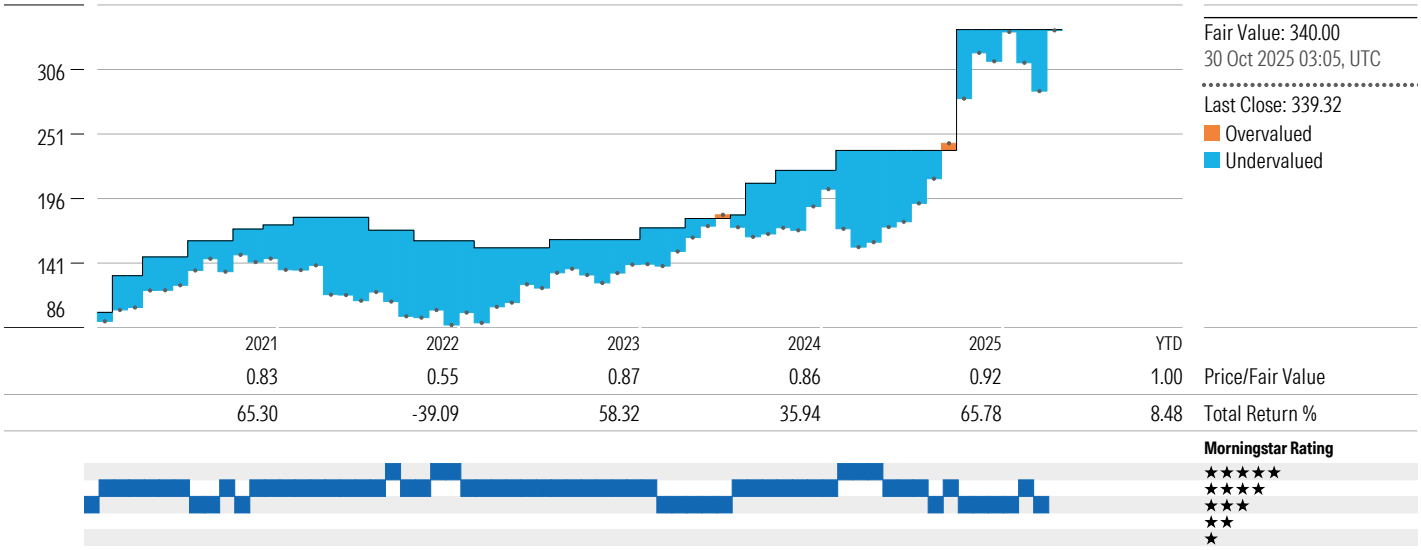
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Competitors Price vs. Fair Value

Alphabet Inc Class A GOOGL



Total Return % as of 22 Apr 2026. Last Close as of 22 Apr 2026. Fair Value as of 30 Oct 2025 03:05, UTC.

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Morningstar Valuation Model Summary

Financials as of 22 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Revenue (USD Mil)	96,773	97,690	94,827	89,670	105,770	135,314	175,190	207,913
Operating Income (USD Mil)	8,891	7,760	4,849	4,175	8,901	18,763	33,540	47,823
EBITDA (USD Mil)	13,730	13,139	10,084	8,659	14,189	25,529	42,300	59,258
Adjusted EBITDA (USD Mil)	16,631	16,056	14,528	13,080	18,363	29,517	46,781	63,946
Net Income (USD Mil)	14,999	7,130	3,794	4,265	7,928	15,593	27,088	38,123
Adjusted Net Income (USD Mil)	10,889	8,458	5,858	6,859	10,737	18,434	30,592	42,074
Free Cash Flow To The Firm (USD Mil)	7,337	-1,319	1,575	-12,443	-11,967	-2,501	21,613	33,899
Weighted Average Diluted Shares Outstanding (Mil)	3,485	3,498	3,528	3,543	3,543	3,543	3,543	3,543
Earnings Per Share (Diluted) (USD)	4.30	2.04	1.08	1.20	2.24	4.40	7.65	10.76
Adjusted Earnings Per Share (Diluted) (USD)	3.12	2.42	1.66	1.94	3.03	5.20	8.63	11.88
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

Margins & Returns as of 22 Apr 2026		Actual			Forecast					
	3 Year Avg	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year Avg**
Operating Margin %	7.2	9.2	7.9	5.1	4.7	8.4	13.9	19.2	23.0	13.8
EBITDA Margin %	—	14.2	13.5	10.6	9.7	13.4	18.9	24.2	28.5	—
Adjusted EBITDA Margin %	—	17.2	16.4	15.3	14.6	17.4	21.8	26.7	30.8	22.2
Net Margin %	8.9	15.5	7.3	4.0	4.8	7.5	11.5	15.5	18.3	11.5
Adjusted Net Margin %	8.7	11.3	8.7	6.2	7.6	10.2	13.6	17.5	20.2	13.8
Free Cash Flow To The Firm Margin %	2.6	7.6	-1.4	1.7	-13.9	-11.3	-1.8	12.3	16.3	0.3

Growth & Ratios as of 22 Apr 2026		Actual			Forecast					
	3 Year CAGR	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year CAGR**
Revenue Growth %	5.2	18.8	1.0	-2.9	-5.4	18.0	27.9	29.5	18.7	17.0
Operating Income Growth %	-29.5	-35.7	-12.7	-37.5	-13.9	113.2	110.8	78.8	42.6	58.1
EBITDA Growth %	-16.2	-20.9	-4.3	-23.3	-14.1	63.9	79.9	65.7	40.1	47.1
Adjusted EBITDA Growth %	-8.9	-13.4	-3.5	-9.5	-10.0	40.4	60.7	58.5	36.7	34.5
Earnings Per Share Growth %	-33.3	18.9	-52.6	-47.2	12.0	85.9	96.7	73.7	40.7	58.5
Adjusted Earnings Per Share Growth %	-33.3	-23.4	-22.6	-31.3	16.6	56.5	71.7	66.0	37.5	58.5

Valuation as of 22 Apr 2026	Actual			Forecast				
	2023	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Price/Earning	79.6	166.9	270.9	199.7	127.9	74.5	44.9	32.6
Price/Sales	8.2	13.3	17.8	16.2	13.7	10.7	8.3	7.0
Price/Book	13.8	19.4	19.3	15.9	14.6	12.5	10.0	7.8
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	46.4	79.6	114.2	108.9	77.6	48.3	30.5	22.3
EV/EBIT	86.8	164.7	342.1	341.2	160.1	75.9	42.5	29.8
Dividend Yield %	—	—	—	—	—	—	—	—
Dividend Payout %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 22 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
ROA %	14.1	6.0	2.9	3.1	5.4	9.3	13.3	15.1
ROE %	23.6	9.7	4.6	4.9	8.3	14.1	19.6	21.7
ROIC %	19.7	14.5	10.8	1.8	5.5	11.9	21.0	30.2

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Tesla Inc TSLA ★★★ 22 Apr 2026 21:37, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
387.51 USD 22 Apr 2026	400.00 USD 29 Jan 2026 09:58, UTC	0.97	1.45 USD Tril 22 Apr 2026	Narrow	Large Growth	Very High	Exemplary	22 Apr 2026 05:00, UTC

Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	1.2	1.0	1.0	0.4	0.3	0.2	0.3	0.5
Assets/Equity	1.7	1.6	1.6	1.6	1.5	1.5	1.5	1.4
Net Debt/EBITDA	-1.4	-1.7	-2.9	-2.8	-0.9	-0.5	-0.8	-1.2
Total Debt/EBITDA	0.6	0.8	1.0	0.5	0.2	0.1	0.1	0.2
EBITDA/ Net Interest Expense	-18.3	-13.2	-10.8	-7.6	-10.5	-16.4	-25.5	-34.1

Forecast Revisions as of 23 Apr 2026	2026		2027		2028	
Prior data as of 17 Feb 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	400.00	399.60	—	—	—	—
Revenue (USD Mil)	89,670	92,982	105,770	111,917	135,314	140,972
Operating Income (USD Mil)	4,175	4,618	8,901	9,926	18,763	18,724
EBITDA (USD Mil)	13,080	13,720	18,363	19,693	29,517	29,647
Net Income (USD Mil)	6,859	7,240	10,737	11,544	18,434	18,290
Earnings Per Share (Diluted) (USD)	1.20	1.28	2.24	2.42	4.40	4.33
Adjusted Earnings Per Share (Diluted) (USD)	1.94	2.04	3.03	3.26	5.20	5.16
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00

Key Valuation Drivers as of 22 Apr 2026

Cost of Equity %	9.7
Pre-Tax Cost of Debt %	5.5
Weighted Average Cost of Capital %	9.8
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	10.0
Stage II Investment Rate %	10.0
Perpetuity Year	15

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 22 Apr 2026

	USD Mil
Present Value Stage I	221,899
Present Value Stage II	216,763
Present Value Stage III	540,204
Total Firm Value	**978,866**
Cash and Equivalents	44,059
Debt	8,153
Other Adjustments	361,504
Equity Value	**1,376,276**
Projected Diluted Shares	3,543
Fair Value per Share (USD)	**400.00**

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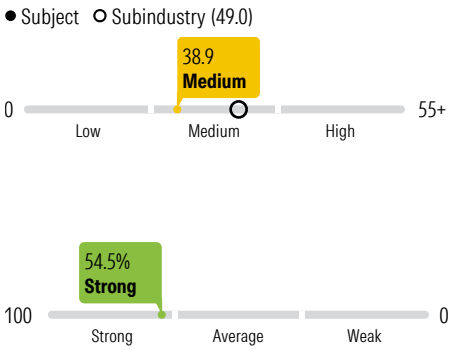
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Tesla Inc TSLA ★★★ 22 Apr 2026 21:37, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
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ESG Risk Rating Breakdown

Exposure	
Company Exposure[1]	38.9
– Manageable Risk	36.7
Unmanageable Risk[2]	**2.2**
Management	
Manageable Risk	36.7
– Managed Risk[3]	20.0
Management Gap[4]	**16.7**
Overall Unmanaged Risk	**18.8**



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 54.5% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Apr 22, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Automobiles. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 22 Apr 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Tesla Inc	38.9 | Medium	0	55+	54.5 | Strong	100	0	18.8 | Low	0	40+
Alphabet Inc	42.6 | Medium	0	55+	57.3 | Strong	100	0	19.9 | Low	0	40+
BYD Co Ltd	48.3 | Medium	0	55+	45.9 | Average	100	0	27.2 | Medium	0	40+
Rivian Automotive Inc	42.5 | Medium	0	55+	40.2 | Average	100	0	26.4 | Medium	0	40+
—	— | —	0	55+	— | —	100	0	— | —	0	40+

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Appendix

Historical Morningstar Rating

Tesla Inc TSLA 22 Apr 2026 21:37, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★	★★	★★	★★	★★	★★★	★★★	★★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★	★★	★★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★★	★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★	★★	★★★	★★★	★★★	★	★	★	★	★

BYD Co Ltd Class A 002594 22 Apr 2026 16:47, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	—
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★	★★★★	★★★★	—	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★	★★★	★★★	—	—	—	—	—	—	—
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	—	—	—	—	—	—	—	—	—	—	—

Rivian Automotive Inc Class A RIVN 22 Apr 2026 21:52, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★	★★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	—	—	—	—	—	—	—	—	—	—	—
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	—	—	—	—	—	—	—	—	—	—	—

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Alphabet Inc Class A GOOGL 22 Apr 2026 21:26, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★	★★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★★	★★★	★★★★	★★★★	★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★	★★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

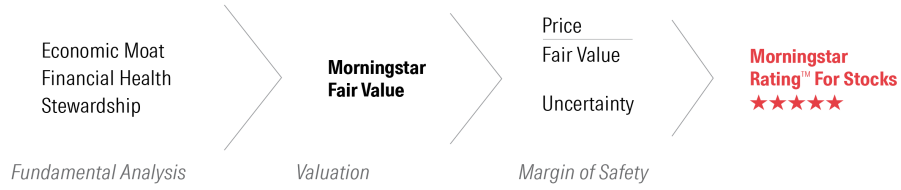
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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Research Methodology for Valuing Companies

outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

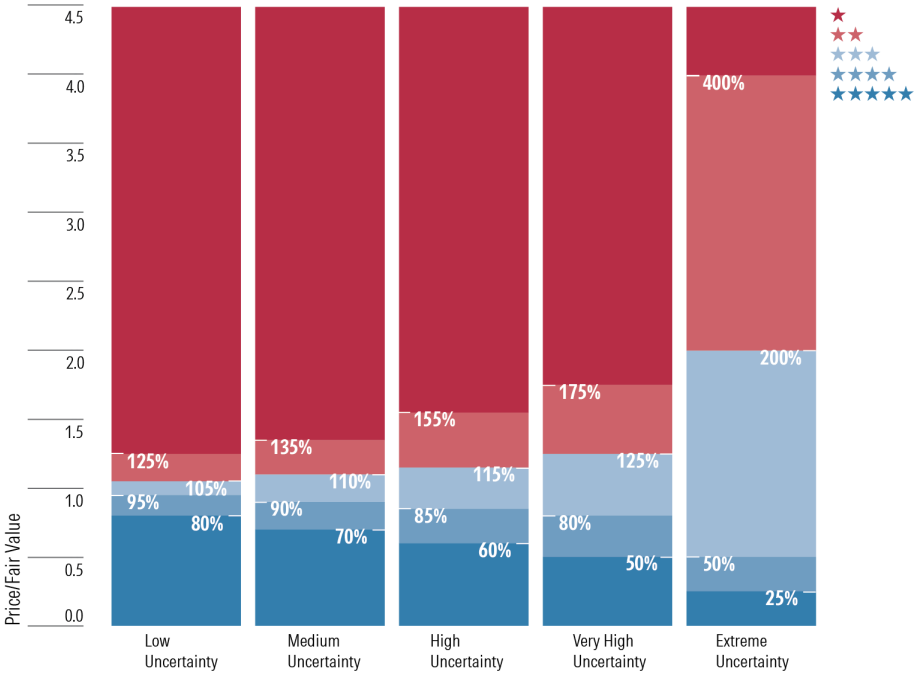
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

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Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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